MBA – DAAI | Semester I

Accounting & Financial Analytics
UNIT I – Foundations of Accounting and Financial Reporting

1. Introduction to Accounting

Meaning: Accounting is the systematic process of identifying, recording, classifying, summarising, analysing and interpreting financial transactions of a business. It provides useful information for decision-making.

Example: If a business invests ■5,00,000, purchases goods for ■1,00,000, sells goods for ■1,50,000 and pays salary of ■20,000, accounting records these transactions and helps determine profit, assets, liabilities and financial position.

2. Objectives of Accounting

- Systematic recording of financial transactions.
- Determination of profit or loss.
- Determination of financial position.
- Providing information to management.
- Facilitating business decision-making.
- Supporting legal, tax and regulatory compliance.
- Protection and monitoring of business assets.

3. Importance and Scope of Accounting

- Provides reliable financial information.
- Supports planning, budgeting and control.
- Helps investors, creditors, banks and government.
- Facilitates comparison and performance evaluation.
- Supports taxation, audit and financial reporting.

Scope includes: Financial Accounting, Cost Accounting, Management Accounting, Tax Accounting, Auditing, Financial Reporting, Accounting Information Systems and Digital/AI-enabled Accounting.

4. Users of Accounting Information

Internal users: Management and employees.

External users: Investors, creditors, banks, government, customers and other stakeholders.

5. Basic Accounting Terminology

Term	Meaning
Capital	Amount invested by the owner in the business.
Drawings	Cash or goods withdrawn by the owner for personal use.
Assets	Resources controlled by a business expected to provide future economic benefits.
Liabilities	Financial obligations payable by the business to outsiders.
Revenue	Income generated from normal business activities.
Expense	Cost incurred to earn revenue.
Purchases	Goods bought for resale in the ordinary course of business.
Sales	Goods sold to customers in the ordinary course of business.

Term	Meaning
Trade Receivable/Debtor	Person or entity that owes money to the business.
Trade Payable/Creditor	Person or entity to whom the business owes money.

6. Accounting Principles and Concepts

Business Entity Concept

Business and owner are treated as separate entities for accounting purposes.

Going Concern Concept

Business is assumed to continue operations for the foreseeable future.

Money Measurement Concept

Only transactions measurable in monetary terms are recorded.

Accounting Period Concept

The life of a business is divided into accounting periods to determine periodic performance.

Historical Cost Concept

Assets are initially recorded at acquisition cost, subject to applicable standards.

Dual Aspect Concept

Every financial transaction has at least two aspects. Assets = Equity + Liabilities.

Accrual Concept

Transactions are recognised when earned or incurred rather than only when cash is received or paid.

Matching Concept

Expenses are recognised in the same period as the related revenues, subject to applicable standards.

Revenue Recognition

Revenue is recognised when applicable recognition requirements are satisfied.

Prudence

Uncertainty is handled with appropriate caution within applicable accounting standards.

7. Accounting Conventions

Consistency

Accounting methods should generally be applied consistently from period to period unless a justified change is required.

Full Disclosure

Material information relevant to users should be disclosed as required.

Prudence

Uncertainty should be considered cautiously within applicable standards.

Materiality

Information that could influence users' decisions should receive appropriate attention.

8. Accounting Standards, AS, Ind AS and IFRS

Accounting Standards: Authoritative principles and requirements guiding recognition, measurement, presentation and disclosure of accounting information.

Ind AS: Indian Accounting Standards, largely converged with IFRS with specified Indian modifications.

IFRS: International Financial Reporting Standards developed by the International Accounting Standards Board (IASB).

Examples: Ind AS 1 – Presentation of Financial Statements; Ind AS 2 – Inventories; Ind AS 7 – Statement of Cash Flows; Ind AS 16 – Property, Plant and Equipment; Ind AS 115 – Revenue from Contracts with Customers.

9. Accounting Cycle

Transaction → Source Documents → Journal → Ledger → Trial Balance → Adjustments → Financial Statements → Analysis & Interpretation

Source documents include invoices, receipts, cash memos, bank statements, debit notes and credit notes.

10. Journal

Meaning: Journal is the book of original entry in which transactions are recorded chronologically.

Traditional rules: Personal Account – Debit the Receiver, Credit the Giver. Real Account – Debit what comes in, Credit what goes out. Nominal Account – Debit all expenses and losses, Credit all incomes and gains.

Modern approach: Assets/Expenses increase → Debit; Liabilities/Capital/Revenue increase → Credit.

11. Important Journal Entries

Transaction	Journal Entry
Capital introduced ■1,00,000	Cash A/c Dr. ■1,00,000 To Capital A/c ■1,00,000
Goods purchased for cash ■20,000	Purchases A/c Dr. ■20,000 To Cash A/c ■20,000
Furniture purchased for cash ■15,000	Furniture A/c Dr. ■15,000 To Cash A/c ■15,000
Goods sold for cash ■30,000	Cash A/c Dr. ■30,000 To Sales A/c ■30,000
Salary paid ■10,000	Salary A/c Dr. ■10,000 To Cash A/c ■10,000
Goods purchased on credit from Rahul ■25,000	Purchases A/c Dr. ■25,000 To Rahul A/c ■25,000
Goods sold on credit to Amit ■40,000	Amit A/c Dr. ■40,000 To Sales A/c ■40,000

12. Ledger

Ledger is the principal book of accounts where transactions relating to individual accounts are classified and summarised. Examples: Cash A/c, Capital A/c, Sales A/c, Purchases A/c, Salary A/c and individual debtor/creditor accounts.

Posting example: If Cash A/c Dr. ■50,000 To Capital A/c ■50,000, Cash A/c is debited with 'To Capital A/c ■50,000' and Capital A/c is credited with 'By Cash A/c ■50,000'.

13. Trial Balance

Trial Balance is a statement containing debit and credit balances of ledger accounts on a particular date. Its main purpose is to check arithmetical agreement of bookkeeping.

Important: Agreement of a trial balance does not prove that all accounting errors are absent.

Errors that may not be revealed: complete omission, error of principle, compensating errors and certain errors of original entry.

14. Financial Statements

Financial statements formally communicate the financial performance and financial position of a business.

- Income Statement – shows financial performance and profit/loss.
- Balance Sheet – shows financial position through assets, equity and liabilities.
- Cash Flow Statement – shows cash inflows and outflows classified into operating, investing and financing activities.

15. Income Statement

Basic relationship: Profit = Revenue – Expenses.

Illustrative Numerical: Sales ■5,00,000; Other income ■10,000; Salary ■80,000; Rent ■40,000; Electricity ■20,000; Advertisement ■10,000. Total revenue = ■5,10,000. Total expenses = ■1,50,000. **Profit = ■3,60,000.**

16. Balance Sheet

Accounting Equation: Assets = Equity + Liabilities.

Illustrative Numerical: Capital ■5,00,000; Bank Loan ■2,00,000; Creditors ■1,00,000; Cash ■1,50,000; Machinery ■4,00,000; Inventory ■1,00,000; Debtors ■1,50,000. Total Equity & Liabilities = ■8,00,000 and Total Assets = ■8,00,000.

17. Cash Flow Statement

Cash flows are generally classified as:

- Operating Activities – main revenue-generating activities; e.g., cash from customers and cash paid to suppliers/employees.
- Investing Activities – acquisition/disposal of long-term assets and investments; e.g., purchase of machinery.
- Financing Activities – changes in equity and borrowings; e.g., issue of shares or receipt/repayment of loans.

Illustrative Numerical: Cash from customers ■5,00,000; suppliers ■2,50,000; salaries ■1,00,000; machinery ■80,000; loan received ■2,00,000. Operating cash flow = ■1,50,000; Investing = –■80,000; Financing = ■2,00,000; **Net increase in cash = ■2,70,000.**

18. Accounting Information System (AIS)

AIS is a system that collects, records, processes, stores and reports accounting and financial information.

Components: People, procedures, data, software, hardware, internal controls and networks/technology.

Benefits: faster processing, accurate records, financial reporting, internal control, budgeting, decision support and audit support.

19. Digital Accounting Platforms

Modern accounting uses cloud accounting systems, ERP systems, accounting software, digital invoicing and banking integrations.

Advantages: real-time access, automation, reduced manual work, faster reporting and better integration. **Risks:** cybersecurity, data privacy, system failure, incorrect configuration and training requirements.

20. AI-enabled Accounting

- Invoice processing and data extraction.
- Expense classification.
- Anomaly detection.
- Financial forecasting.
- Fraud-risk pattern detection.
- Automated reconciliation and exception flagging.

AI supports accounting work, but human review remains important for exceptions, professional judgement and accountability.

21. Robotic Process Automation (RPA)

RPA uses software robots to automate repetitive, rule-based digital tasks. In accounting it can assist with invoice processing, data entry, bank reconciliation, report generation, accounts payable and accounts receivable tasks.

Example: A bot can read 500 monthly invoices, extract invoice number, supplier and amount, enter data into the accounting system, match information and flag exceptions.

22. Role of Accounting in Managerial Decision-Making

- Pricing decisions.
- Cost control.
- Budgeting.
- Investment decisions.
- Business expansion.
- Performance evaluation.
- Resource allocation.

Modern decision-making increasingly combines accounting data, analytics and AI: **Accounting Data** → **Data Processing** → **Analytics** → **AI/Forecasting** → **Management Decision.**

23. Important Differences

Accounting vs Bookkeeping

Bookkeeping mainly records transactions; accounting includes recording, classifying, summarising, analysing and interpreting.

Journal vs Ledger

Journal is chronological original entry; ledger is classified account-wise record.

Trial Balance vs Balance Sheet

Trial balance checks arithmetical agreement; balance sheet presents financial position.

24. Exam-Oriented Long Questions

- Define accounting. Explain its objectives and importance.
- Explain the scope of accounting.
- Explain important accounting concepts with examples.
- Explain accounting conventions and principles.
- What are Accounting Standards? Explain AS, Ind AS and IFRS.
- Explain the accounting cycle.
- Explain Journal and rules of debit and credit with examples.
- Explain Ledger and posting.
- What is Trial Balance? Explain its objectives and limitations.
- Explain Income Statement, Balance Sheet and Cash Flow Statement.
- Explain operating, investing and financing cash flows.
- Explain AIS, its components and importance.

- Explain applications of AI and RPA in accounting.
- Explain the role of accounting information in managerial decision-making.

25. Quick Revision

Accounting: Identify → Record → Classify → Summarise → Analyse → Interpret

Accounting Cycle: Transaction → Journal → Ledger → Trial Balance → Adjustments → Financial Statements

Financial Statements: Income Statement → Profit/Loss; Balance Sheet → Financial Position; Cash Flow Statement → Cash Movement

Cash Flow: Operating + Investing + Financing

Modern Accounting: AIS + ERP + Cloud + AI + RPA + Analytics

26. Numerical Practice Questions

- Record 8–10 business transactions in the Journal and identify the accounts affected.
- Post journal entries into Cash, Capital, Purchases, Sales and Salary Accounts.
- Prepare a Trial Balance from a set of ledger balances.
- Prepare an Income Statement and Balance Sheet from a Trial Balance.
- Classify given cash transactions into Operating, Investing and Financing activities and calculate net cash flow.

Exam Tip: In numerical questions, show the working, accounting treatment and proper format. Do not write only the final answer.